

FUNDAMENTALS OF COSTING AND PRICING

DAY 1



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LESSON THREE

DIRECT LABOUR COSTS (DIRECT COST)

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When calculating the cost of your Direct Labour for a certain product, contract or job, in other words labour that you must pay for in terms of **time or money** to complete a certain order or deliver a particular service, there are several things to remember:

- You need to know beforehand **how long it will take** to complete a certain product or deliver a certain service (or even a tender or a contract) before you can arrive at an accurate labour costing. This applies whether you pay by the hour, by the job or per contract, and whether you make/deliver the product or service yourself or pay multiple other staff or service providers to do so.
- If you pay your service providers, employees or subcontractors per job, you will still need to have determined an hourly rate that both you and the subcontractor are happy with before production/implementation begins. The actual payment per product or service delivered will usually then be drawn from *how long that product or service reasonably takes to do x the agreed hourly rate*.
- You can pay/allocate different labour rates for different skills, according to their level of difficulty and/or availability or scarcity.

Examples:

If a training workshop takes 4 hours and the agreed hourly rate with the trainer is R250/hr, he will be due $R250 \times 4 = R1000$ upon completion.

If paying a contracted seamstress per item and a garment takes 2 hours to sew from start to finish, and the agreed rate for that type of product or skill is R100/hour, then R200 would be a fair price to pay per completed item. If a highly-skilled producer can make the item in 1.5 hours, they should still be paid R200 – you need to set the rate at an average skill level and not at the highest or lowest...

- In a manufacturing/production set-up it is usually more efficient and cost effective to use different producers for stages of the production process, instead of having one producer make the whole item. The time of each stage will need to be known or at the very least accurately estimated if you are to ensure accurate costings, and also if you need to pay different producers for their particular contribution along the production line.
- In many cases, it is wise to work out a **minute rate** for each producer/employee, especially if a product involves several small steps in the production process. This is how much it costs the company, per minute, for that employee's time. Services, by contrast will usually be costed on an hourly, daily or even weekly basis.

To work out a minute rate, start with the agreed daily wage and then work backwards as follows:

- Agreed Daily Rate = R500

$R500 \div 7\text{hrs} = R71.43$ per hour (avg 8-hour workday with an hour for breaks deducted)

$R71.43 \div 60\text{ minutes} = R1.19\text{c}$ per minute (This is the employee's **minute rate**)

Now you try work out a few:

- An employee earns R350/day. What is his minute rate?
- An employee earns R450/day. What is her minute rate?
- An employee earns R1500/week. What is his minute rate?
- An employee earns R12,000/month. What is her minute rate? (**Note** – there are an average of 22 working days in each month, based on the BCEA)

CALCULATING DIRECT LABOUR RATES FOR SALARIED EMPLOYEES

Direct manufacturing labour costs are the total costs of staff who work directly on goods being manufactured. It is a useful measurement for a small business to use because it allows you to understand exactly how much of your wage bill is going toward employees who actually manufacture your products. Calculate this cost by identifying direct labourers and computing their wages:

1. Determine which workers are considered direct labourers. Direct labourers are workers who directly perform work on the product being produced. For example, in a bakery the person who mixes the dough or bakes the bread is a direct labourer, but the person who sweeps the floors is not...
2. Add up the total hours that all direct labourers work in the period in question (per month, per quarter or per year). If you had four direct labourers who worked 400, 300, 200 and 500 hours, you would add these hours up to get 1,400 hours.
3. Multiply the number of hours worked over the period by their labour rate. This will give you the total direct labour costs. Assuming that your wage rate is R50 per hour, you would multiply it by 1,400 – the number of hours in this example – to get total direct manufacturing costs of R70 000 for the period. You could then calculate this as a percentage of your total wage bill and get a ratio of direct vs indirect labour in your company.

DIRECT LABOUR COSTING – THINGS TO REMEMBER:

- If you manufacture or deal in any goods that need to be packed, you need to remember to cost in any labour you pay for in terms of packing and packaging of products – this is a cost centre that many ignore or forget about.
- Make sure you are familiar with your rights & obligations as an employer, both to protect yourself in case of any problems, and also to ensure your employees are pulling their weight!
- If you make use of subcontractors for all or part of your manufacturing or service provision process, the terms and amounts of payment must be agreed **up front in writing** and quality standards, deadlines, policies in terms of reject products or poor service delivery must be discussed and agreed upon as well. Have a contract or at least an SLA (Service Level Agreement) in place.
- You need to ensure that your organisation makes a profit from the money it spends on labour.
- If you pay people per day or per week, be sure that they stick to the times that have been allowed for production in the costing – this usually entails setting tangible production targets and ensuring that these are followed. You may even want to use incentives to encourage productivity. This also applies to the delivery of a service – if you have allowed for 5hrs to do a certain piece of work or perform a certain function, you need to ensure it is completed within that time frame....
- Costs like weekly or monthly salaries and wages paid to staff members who are not directly involved in physical production or actual delivery of services must be costed as **overheads** and not as direct labour. This includes marketing functions, admin, sales, accounts etc.